

Budget. For the long term, he advises investors to look at value and temper their expectations on returns, since the Bull run of the Indian markets has run into rough weather, thanks largely to developments abroad, especially the trade wars that US President Donald Trump has initiated. Kela believes in the strength of the rupee and says foreign investors, who have been “relentless” in selling Indian stocks, will return soon. Edited excerpts:



In the last few months, we have seen a pullout by foreign portfolio investors (FPIs) and consequent downtrend in the markets. But with the Budget, is it time for investors to resume their long-term investment?

We must understand the backdrop. From the lows that we hit in 2020; the equity markets have given extraordinary returns. You have had companies' share prices go up 10, 20, 30 times, and many of these are small- and mid-cap companies. A lot of money has been made in the last four years. This correction is in that backdrop that if you continue to compound your money at 25, 30, 35%, then there is something wrong with the people who are establishing these businesses, which are struggling to make 18-20% returns on equities (ROE), but

where investors can buy derivatives and compound at 30-35%. That is unreal, but it happens because the market is not always driven by fundamentals, it is driven by greed and fear. Obviously, a lot of greed crept into the market in the last 12 months, where everyone wanted to have a family office, AIFs and everyone wants to be part of the stock market.

At this point, it is important to understand that these returns are not replicable over the next three-four years.

Now, does equity remain a good asset class to play in, given the alternatives? If you are looking

money, but your individual stock picking and your bottom-up ideas will make money. We live in a very volatile world, and you must make volatility your friend. Do your homework. There is no rush and buy companies at any price. You must have faith that the markets are going to be volatile, and if you have done your homework, you get excellent entry opportunities. Bottom-up investing for this year with moderate return expectations is what I would vouch for.

And lastly, we have been part of the bull market. We must preserve whatever we made. If we

sellers in the market from October. They've sold close to ₹2.5 lakh crore. That has nothing to do with their view on India, it has got to do with their view on emerging markets overall. They lost a lot of money in Russia and in China. And the money is going away from emerging markets because of the strengthening of the dollar. If you are a pension fund getting 5% on US fixed-income assets, and if you must meet obligations in US dollar terms, then you are likely to invest in the US. Today, the world is far too tilted in favour of US. That can't last forever. Foreign investors should return

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for asset allocation and given the long-term India story, which I am very convinced about, equity remains a very good asset class with moderate return expectation, right.

How do you play this? There are phases when you make a lot of money in the market doing nothing, and there are phases when you must work hard. We are getting into that second phase. The market will not make you

have that mindset, we will be able to preserve what we made and add moderate returns over the next 12-24 months, and that will be a very good outcome over a five to six-year time frame.



How will the global context feed into our markets?

Global sentiment is what is influencing flows. FPIs have been relentless

to our markets sometime this year. And I expect that foreign selling will subside.



What is likely to happen in the context of trade wars across the world?

Trade wars are never good. But they are here. The main question is this: Is there any specific sector or company in India that can benefit out of it? And I would